⑥ Descriptive Analytics

Definition: Descriptive Alytics answers the question 'What happened?' It summarises historical data to show past performance. Most standard reports are descriptive useful, but they do not explain causes or predict the future.

Exp: A quarterly sales report showing total revenue per product category is a classic example of Descriptive Analytics

Souce: Gartner Glossary (2024). Descriptive Analytics www.gartner.com

⑦ Diagnostic Analytics

Definition: Diagnostic Analytics goes a step further and tries to explain why something happened. It involves drilling into data to find correlations and root causes behind a result.

Exp: If a restaurant chain sales dropped 20% in July, Diagnostic Analytics would help identify whether it was due to a new competitor or a rise in negative online review

Source: Evans, J. R. (2019). Business Analytics (3rd ed.) Pearson.

⑧ Predictive Analytics

Definition: uses historical data and statistical models to forecast what is likely to happen in the future. It provides probabilities, not certainty and is more advanced than Descriptive or Diagnostic Analytics.

Example: Banks use Predictive Analytics to assess the likelihood of a loan applicant defaulting - helping decide whether to approve or decline.